News Release

Investors, analysts and other interested parties may access Acadian Timber Corp.'s 2025 Fourth Quarter and Year End Results conference call and webcast on Thursday, February 12, 2026 at 1:00PM ET. Please register here or follow the link on our website at www.acadiantimber.com/presentations-webcasts, to receive your unique PIN. For those unable to participate, a recorded rebroadcast will be available until 4:00PM ET February 12, 2027.

ACADIAN TIMBER CORP. REPORTS FOURTH QUARTER AND YEAR END RESULTS

Edmundston, NEW BRUNSWICK – February 11, 2026 – Acadian Timber Corp. ("Acadian" or the "Company") (TSX:ADN) today reported financial and operating results[1] for the three months ended December 31, 2025 (the "fourth quarter") as well as for the full 2025 fiscal year.

"While 2025 brought a multitude of challenges, Acadian delivered steady operational performance in New Brunswick, helping to offset weather-related challenges, trucking constraints, and productivity issues in Maine," said Adam Sheparski, President and Chief Executive Officer. "Amid global and regional uncertainty, our team remained disciplined and focused on strengthening the business for the years ahead."

During the fourth quarter, Acadian generated sales of $22.0 million compared to $20.2 million in the fourth quarter of 2024. Acadian generated $5.2 million of Adjusted EBITDA and $1.9 million of Free Cash Flow during the fourth quarter and declared dividends of $5.3 million or $0.29 per share to our shareholders.

During 2025, Acadian generated revenue from timber sales and services of $87.0 million, compared to $91.6 million in the prior year. The sale of 752,100 voluntary carbon credits contributed an additional $24.6 million to total sales in 2024 while no sales of carbon credits occurred in 2025. Acadian generated $15.8 million of Adjusted EBITDA and $6.6 million of Free Cash Flow during the year, and declared dividends of $20.9 million or $1.16 per share to our shareholders.

Acadian's balance sheet remains solid with $17.4 million of net liquidity as at December 31, 2025, which includes funds available under our credit facilities.

[1] *This news release makes reference to "Adjusted EBITDA", which Acadian's management defines as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and to "Adjusted EBITDA margin", which is Adjusted EBITDA as a percentage of sales. Reference is also made to "Free Cash Flow", which Acadian's management defines as Adjusted EBITDA less interest paid, current income tax expense, capital expenditures excluding acquisitions of timberlands and non-cash expenditures, and mandatory debt repayments, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference made to "Payout Ratio" is defined as dividends declared divided by Free Cash Flow and "Payout Ratio with DRIP" is defined as dividends paid in cash divided by Free Cash Flow. Management believes that Adjusted EBITDA, Adjusted EBITDA margin, Free Cash Flow and Payout Ratios are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operating performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian's operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from our operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. Reference is also made to "net liquidity" which includes cash and cash equivalents and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt. Please refer to the section entitled "Non-IFRS Measures" in Management's Discussion and Analysis for further details.*

Review of Operations

Financial and Operating Highlights

	Three Months Ended		Year Ended	
(CAD thousands, except volume and per share information)	**December 31, 2025**	December 31, 2024	**December 31, 2025**	December 31, 2024
Timber sales volume (000s m^3)	**277.5**	232.3	**996.2**	977.2
Carbon credit sales volume (000s credits)	—	—	**—**	752.1
Timber sales and services	**$ 21,976**	$ 20,226	**$ 86,956**	$ 91,597
Carbon credit sales	—	—	**—**	24,588
Operating income	**4,241**	3,215	**13,316**	23,659
Net income	**39,720**	5,585	**48,973**	21,738
Adjusted EBITDA	**5,164**	$ 3,698	**$ 15,766**	$ 38,893
Adjusted EBITDA margin	**23%**	18%	**18%**	33%
Free Cash Flow	**$ 1,860**	$ 3,051	**$ 6,635**	$ 29,733
Dividends declared	**5,303**	5,126	**20,942**	20,259
Dividends paid in cash	**2,589**	2,588	**10,363**	11,488
Payout Ratio			**316%**	68%
Payout Ratio with DRIP			**156%**	39%
Per share – basic and diluted				
Net income	**$ 2.18**	$ 0.32	**$ 2.70**	$ 1.24
Free Cash Flow	**0.10**	0.17	**0.37**	1.69
Dividends declared per share	**0.29**	0.29	**1.16**	1.16

Three Months Ended December 31, 2025

During the fourth quarter, Acadian generated sales of $22.0 million compared to $20.2 million in the fourth quarter of 2024. Sales volume, excluding biomass, was 21% higher than the same period of 2024, supported by more favourable weather conditions across both operating regions. New Brunswick also experienced improved contractor availability and a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing freehold sales and decreasing timber services revenue. Harvested volumes increased in Maine, as compared to the same period in the prior year, but deliveries were hindered by limited trucking capacity.

The weighted average selling price, excluding biomass, decreased 6% year-over-year. Softwood sawlog pricing was 2% lower than the prior year period, with a higher value product mix offset by shorter hauling distances. Hardwood sawlog pricing decreased 10% primarily due to a lower value product mix and continued weakness in lumber markets. Softwood pulpwood pricing was consistent with the prior year period, while hardwood pulpwood pricing decreased 12% due to shorter hauling distances and lower fuel adjustment surcharges.

Operating costs and expenses were $17.7 million during the fourth quarter, compared to $17.0 million during the fourth quarter of 2024. Increased operating costs and expenses were due primarily to higher sales volumes and higher land management costs, partially offset by lower timber services activity. Weighted average variable costs per m^3 produced In New Brunswick decreased compared to the fourth quarter of 2024 due to a higher proportion of softwood products which carry lower variable costs, lower harvesting costs associated with the harvesting method applied, short hauling distances and lower fuel adjustment costs. Cost of sales per m^3 produced in Maine increased, as compared to the prior year period, as a result of lower production levels.

Adjusted EBITDA was $5.2 million during the fourth quarter, compared to $3.7 million in the prior year period and Adjusted EBITDA margin for the quarter was 24% compared to 18% in the prior year period. Free Cash Flow was $1.9 million compared to $3.1 million in the same period of 2024 as a result of higher interest expense, debt repayments and current income tax expense combined with lower proceeds from sales of assets.

Net income for the fourth quarter totaled $39.7 million, or $2.18 per share, compared to $5.6 million, or $0.32 per share in the same period of 2024. The increase in net income was largely due to the impact of higher gains on non-cash fair value adjustments in 2025 compared to 2024 partially offset by lower operating income and higher income tax expense.

Year Ended December 31, 2025

Acadian generated revenue from timber sales and services of $87.0 million, compared to $91.6 million in the prior year. Consistent year-over-year sales volumes, excluding biomass, from our freehold timberlands were offset by a decrease in the weighted average selling price, and lower timber services activity. The sale of 752,100 voluntary carbon credits contributed an additional $24.6 million to total sales in 2024 while no sales of carbon credits occurred in 2025.

Freehold timber sales volume, excluding biomass, of 908,500 m3 was consistent with 2024, with increased freehold sales volumes in New Brunswick offset by decreased sales volumes in Maine. New Brunswick freehold sales volume, excluding biomass, increased primarily due to increased contractor availability and a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue, as compared to 2024. Decreased sales volumes in Maine were reflective of unfavourable weather conditions in the first half of the year and limited trucking capacity, combined with short-term harvesting productivity constraints.

Acadian's weighted average selling price, excluding biomass, of $78.51 decreased 4% from the prior year. Softwood sawlog pricing was consistent with the prior year period. Longer hauling distances for delivered sales and modest improvements in end use markets were partially offset by higher volumes of roadside sales and a greater proportion of sales occurring in New Brunswick, where pricing is generally lower than Maine. Hardwood sawlog pricing decreased 7% primarily due to a lower value product mix and continued weakness in lumber markets. Softwood pulpwood pricing decreased 5% year-over-year due to lower demand early in the year. Hardwood pulpwood pricing decreased 3% as compared to the prior year as a result of shorter hauling distances and lower demand. Lower fuel adjustment surcharges, resulting from lower fuel prices also impacted pricing, particularly in New Brunswick.

Operating costs and expenses were $73.6 million during 2025, compared to $92.5 million in the prior year. Included in operating costs and expenses in the prior year were $18.9 million related to carbon credit sales. Operating costs and expenses related to timber sales and services were relatively consistent with 2024. Lower weighted average variable costs, excluding biomass, in New Brunswick were partially offset by higher average operating costs and expenses per m3 produced in Maine.

Adjusted EBITDA for the year ended December 31, 2025 was $15.8 million, compared to $38.9 million in the prior year, with $19.8 million of the change being attributable to Adjusted EBITDA related to the sale of carbon credits in 2024. The remaining decrease in Adjusted EBITDA, as compared to 2024, is primarily a result of lower operating income for the reasons discussed above. Adjusted EBITDA margin was 18% compared to 33% in the prior year. Free Cash Flow was $6.6 million compared to $29.7 million in 2024 due to lower Adjusted EBITDA, higher interest expense and higher mandatory debt repayments, partially offset by lower current income tax expense.

Net income for the year ended December 31, 2025 totaled $49.0 million, or $2.70 per share, compared to net income of $21.7 million, or $1.24 per share, in the prior year with higher non-cash fair value adjustments in 2025 compared to 2024 offset by lower operating income, higher interest expense and higher income tax expense.

Segment Performance

New Brunswick Timberlands

The table below summarizes operating and financial results for New Brunswick Timberlands:

		Three Months Ended		Year Ended	
(CAD thousands, except volume)		**December 31, 2025**	December 31, 2024	**December 31, 2025**	December 31, 2024
Sales (000s m^3)					
	Softwood	**160.5**	108.7	**548.5**	463.1
	Hardwood	**51.0**	62.7	**255.3**	270.4
	Biomass	**33.7**	28.4	**81.9**	60.7
	Total	**245.2**	199.8	**885.7**	794.2
Sales ($000s)					
	Softwood	**$ 11,701**	$ 7,777	**$ 40,160**	$ 33,705
	Hardwood	**4,046**	5,739	**21,844**	24,242
	Biomass	**399**	359	**1,156**	1,305
	Total	**$ 16,146**	$ 13,875	**$ 63,160**	$ 59,252
Timber services and other		**2,874**	3,347	**12,875**	15,062
Total Sales ($000s)		**$ 19,020**	$ 17,222	**$ 76,035**	$ 74,314
Adjusted EBITDA ($000s)		**$ 5,487**	$ 4,168	**$ 19,705**	$ 19,471
Adjusted EBITDA margin		**29%**	24%	**26%**	26%

Three Months Ended December 31, 2025

Sales for New Brunswick Timberlands were $19.0 million compared to $17.2 million during the prior year period. Freehold sales volume, excluding biomass, increased 23% compared to the prior year period primarily due to increased contractor availability and a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue. Favourable weather conditions further supported sales volumes.

The weighted average selling price, excluding biomass, for the fourth quarter was $74.48 per m3, or 6% lower than the prior year period. Softwood sawlog pricing was consistent with the prior year period, with a higher value product mix offset by shorter hauling distances. Hardwood sawlog pricing decreased 12% primarily due to a lower value product mix and continued weakness in lumber markets. Softwood pulpwood pricing was consistent with the prior year period, while hardwood pulpwood pricing decreased 13% due to shorter hauling distances and lower fuel adjustment surcharges.

Operating costs and expenses were $13.6 million during the fourth quarter, compared to $13.4 million in the prior year period. Additional costs related to increased freehold harvesting activity were offset by lower timber services activity and decreased weighted average variable costs, as compared to the fourth quarter of 2024. Weighted average variable costs, excluding biomass, decreased 15% compared to the fourth quarter of 2024 due to a higher proportion of softwood products which carry lower variable costs, lower harvesting costs associated with harvesting method applied, short hauling distances and lower fuel adjustment costs.

Adjusted EBITDA for the quarter was $5.5 million compared to $4.2 million during the prior year period and Adjusted EBITDA margin was 29% compared to 24% as a result of higher operating income for the reasons discussed above.

Year Ended December 31, 2025

Sales for New Brunswick Timberlands totaled $76.0 million, compared to $74.3 million in 2024 reflecting increased freehold sales volumes offset by a lower weighted average selling price and decreased timber services activity. Freehold sales volume, excluding biomass, increased 10% compared to the prior year primarily due to increased contractor availability and a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue. Biomass sales volume was higher compared to the prior year due to increased processing capacity.

The weighted average selling price, excluding biomass, for the year was $77.14 per m3, or 2% lower year-over-year. Softwood sawlog pricing increased 3% compared to the prior year period, due to a higher value product mix, longer hauling distances and modest improvements in end use markets. Hardwood sawlog pricing decreased 6% primarily due to a lower value product mix and continued weakness in lumber markets. Softwood pulpwood pricing decreased 3% year-over-year due to lower demand early in the year. Hardwood pulpwood pricing also decreased 3% as compared to the prior year period as a result of shorter hauling distances and lower demand. Lower fuel adjustment surcharges, resulting from lower fuel prices also impacted pricing.

Operating costs and expenses were $56.8 million during 2025, compared to $55.5 million in the prior year. Increased freehold harvesting activity was partially offset by decreased weighted average variable costs and lower timber services activity. Weighted average variable costs, excluding biomass, decreased 5% as a result of a higher proportion of softwood products which carry lower variable costs, lower harvesting costs associated with the harvesting treatment applied, and lower fuel adjustment costs.

Adjusted EBITDA for the year ended December 31, 2025 was $19.7 million, compared to $19.5 million in the prior year, while Adjusted EBITDA margin was 26%, consistent with the prior year.

Maine Timberlands

Internal Logging Operations

Prior to January 1, 2025, all harvesting operations in Maine were performed by third-party contractors. During the first quarter of 2025, Acadian established its own internal logging operations. This occurred through two initiatives.

In January 2025, Acadian purchased several pieces of harvesting equipment for $2.4 million and hired equipment operators to conduct harvesting operations on Acadian’s Maine Timberlands.

On February 28, 2025, Acadian acquired certain logging and related assets of A & A Brochu, LLC (“A & A Brochu”) and its affiliates for total cash consideration of $6.9 million. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine.

Recognized amounts of assets acquired from A & A Brochu are as follows:

(CAD thousands)		
Equipment	$	**5,271**
Land and buildings		**1,477**
Intangible assets		**182**
Total identifiable assets acquired	$	**6,930**

No liabilities were assumed.

Although some operations will continue to be performed by external contractors in Maine, these initiatives represent a significant transition away from contracted logging operations in Maine. During 2025, production volumes were below anticipated long-term levels, and operating costs per m^3 of timber produced were elevated by approximately 30% relative to long-term targets in the fourth quarter of 2025. Additionally, the transition to a more fixed cost structure has resulted in changes from historical cost patterns, with costs less directly tied to revenue generated. During the third quarter of 2025, we expanded the workforce within our internal harvesting operations and production levels notably improved in the fourth quarter.

Acadian is actively investing in operator training programs and optimizing equipment utilization to support this strategic shift. These efforts are designed to enhance efficiency, build long-term capabilities, and ensure sustained cost improvements. As internal operations continue to scale, Acadian expects to increase production capacity and drive greater cost efficiency in Maine.

The table below summarizes operating and financial results for Maine Timberlands:

		Three Months Ended		Year Ended	
(CAD thousands, except volume)		**December 31, 2025**	December 31, 2024	**December 31, 2025**	December 31, 2024
Sales (000s m^3)					
	Softwood	**20.0**	18.7	**64.2**	103.0
	Hardwood	**10.8**	10.8	**40.5**	71.8
	Biomass	**1.5**	3.0	**5.8**	8.2
	Total	**32.3**	32.5	**110.5**	183.0
Sales ($000s)					
	Softwood	**$ 1,649**	$ 1,695	**$ 5,788**	$ 9,589
	Hardwood	**872**	917	**3,536**	6,333
	Biomass	**36**	82	**149**	182
	Total	**$ 2,557**	$ 2,694	**$ 9,473**	$ 16,104
Other sales		**399**	310	**1,448**	1,179
Total Sales ($000s)		**$ 2,956**	$ 3,004	**$ 10,921**	$ 17,283
Adjusted EBITDA ($000s)		**$ (53)**	$ (223)	**$ (2,166)**	$ 1,620
Adjusted EBITDA margin		**(2)%**	(7)%	**(20)%**	9%

Three Months Ended December 31, 2025

Sales for Maine Timberlands during the fourth quarter totaled $3.0 million, consistent with the prior year period. Sales volume, excluding biomass, increased 5% compared to the same period of 2024. Harvested volumes increased, as compared to the same period in the prior year, supported by more favourable weather conditions, but deliveries were hindered by limited trucking capacity.

The weighted average selling price, excluding biomass, was $58.25 per m^3 in U.S dollar terms, and $81.10 per m^3 in Canadian dollar terms, both 8% lower than the same period of 2024, primarily due to stumpage sales. Excluding stumpage sales, the weighted average selling price, excluding biomass, increased 3%. Softwood sawlog pricing decreased 12% as compared to the prior year period as a result of the incurrence of stumpage sales, which did not occur in the fourth quarter of 2024, and increased roadside sales, partially offset by a higher value product mix. Excluding stumpage sales, softwood sawlog pricing increased 6%. Hardwood pulpwood pricing decreased 6% due to lower demand. Hardwood sawlog and softwood pulpwood volumes were minimal during the quarter.

Operating costs and expenses for the fourth quarter were $3.8 million, compared to $3.3 million during the same period in 2024 as a result of higher average operating costs and expenses per m^3 produced.

Adjusted EBITDA for the quarter was $(0.1) million, compared to $(0.2) million in the prior year period and Adjusted EBITDA margin was (2)% compared to (7)% in the prior year period. Decreased operating income was offset by higher gains on sale of timberlands and other fixed assets.

Year Ended December 31, 2025

Sales for Maine Timberlands were $10.9 million compared to $17.3 million in 2024. Sales volume, excluding biomass, decreased 40%. The decrease in volumes year-over-year is reflective of unfavourable weather conditions in the first half of the year and limited trucking capacity, as some trucking operations continue to be performed by external contractors, combined with the short-term harvesting productivity constraints previously noted.

The weighted average selling price, excluding biomass, in Canadian dollar terms was \$88.98 per m^3, compared to \$91.09 per m^3 in 2024. In U.S. dollar terms, the weighted average selling price, excluding biomass, was \$63.74 per m^3, compared to \$66.70 per m^3 in 2024. Softwood sawlog pricing decreased 7% in U.S. dollars terms, compared to the prior year period, as a result of the incurrence of stumpage sales, which did not occur in 2024, and increased roadside sales. Excluding stumpage sales, softwood sawlog pricing decreased 2% in U.S. dollar terms. Hardwood pulpwood pricing decreased 5% due to lower demand. Hardwood sawlog and softwood pulpwood volumes were minimal during the year.

Operating costs and expenses for 2025 were \$14.9 million, compared to \$16.0 million in 2024. Decreased costs resulting from lower timber sales volumes were partially offset by higher average operating costs and expenses per m^3 produced.

Adjusted EBITDA for the year ended December 31, 2025 was \$(2.2) million compared to \$1.6 million in the prior year and Adjusted EBITDA margin was (20)% compared to 9% during the prior year.

Environmental Solutions

Environmental Solutions leverages the ecological functions of Acadian's land and the operational expertise of its team to address pressing environmental challenges, such as climate change and biodiversity. In line with these objectives, Acadian has undertaken a voluntary carbon credit project which increases carbon sequestration and provides significant environmental benefits on the portion of our Maine Timberlands that is subject to a working forest conservation easement.

The project is registered on the ACR under the name Anew – Katahdin Forestry Project, and requires balancing harvest and growth, long-term planning, periodic carbon inventory verification, and maintenance of the Acadian's sustainable forestry certification.

During 2024, 752,100 carbon credits were sold. No sales occurred during 2025.

The table below summarizes operating and financial results for Environmental Solutions:

	Three Months Ended		Year Ended	
	December 31, 2025	December 31, 2024	**December 31, 2025**	December 31, 2024
Sales volume (000s credits)	**—**	—	**—**	752.1
Sales (\$000s)	**\$ —**	\$ —	**\$ —**	\$ 24,588
Adjusted EBITDA (\$000s)	**\$ —**	\$ —	**\$ —**	\$ 19,839

The ACR has developed Version 2.1 of the Improved Forest Management protocol, which is fundamentally the same approach as the previous protocol but introduces dynamic baselines. Carbon credits assessed using the new protocol are expected to be more appealing to customers. Acadian's project is currently being transitioned to the new protocol, which has resulted in a delay in the registration process for the next tranche of carbon credits for the project. Registration is expected in the near term.

The transition to the new protocol may result in slightly fewer total carbon credits being issued than was expected under the initial protocol. However, all credits generated are expected to be carbon removal credits, and no conservation credits will be generated. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances, and other factors, as well as periodic updating for inventory and verification activities.

This project has provided valuable experience to the Acadian management team and has formed the foundation for potential carbon credit developments in the future.

Outlook

Near-term pressures on end-use markets have continued, with trade policy developments adding further complexity for forest products companies in both the U.S. and Canada. The escalation of U.S. duties on Canadian softwood lumber, along with tariffs on select wood-based products, poses a potential risk to Canadian exporters and may dampen cross-border demand. Despite these headwinds, macroeconomic indicators remain supportive. North American interest rates are easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.38 million starts in 2026, compared to 1.35

million in 2025. We remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products.

We maintained sufficient contractor availability in New Brunswick through 2025, which is expected to continue into 2026. Production from our internal harvesting operations improved during the fourth quarter of 2025 and we expect this momentum to continue through the winter, supporting further progress toward our targeted cost structure. Production levels are expected to ease somewhat in the second and third quarters of 2026, reflecting the usual spring slowdown and lower productivity of the harvest stands planned for the warmer months.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood and hardwood pulpwood is expected to remain at reduced levels in the near term.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. Issuance of the next tranche of carbon credits from Acadian's current project has been delayed due to the transition to ACR's updated Improved Forest Management protocol. However, registration of additional carbon credits is anticipated in the near term, and the updated protocol is expected to improve the marketability of the resulting carbon credits. Acadian is evaluating future opportunities to develop additional projects under either the Canadian compliance protocol finalized in 2024 or voluntary protocols.

Quarterly Dividend

Acadian is pleased to announce a dividend of $0.29 per share, payable on April 15, 2026 to shareholders of record March 31, 2026.

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Acadian Timber Corp. *("Acadian") is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. and has a total of approximately 2.4 million acres of land under management. Acadian owns and manages approximately 775,000 acres of freehold timberlands in New Brunswick, approximately 300,000 acres of freehold timberlands in Maine and provides timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick. Acadian's primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 85 regional customers. Acadian also focusses on generating income through other opportunities including real estate and environmental solutions.*

Acadian's business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities while growing its business by acquiring assets and actively managing these assets to drive improved performance.

Acadian's shares are listed for trading on the Toronto Stock Exchange under the symbol ADN.

For further information, please visit our website at **www.acadiantimber.com** or contact:

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Cautionary Statement Regarding Forward-Looking Information and Statements

This News Release contains forward-looking information and statements within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of Acadian Timber Corp. and its subsidiaries (collectively, "Acadian"), or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking information is included in this News Release and includes statements made in the sections entitled "Segment Performance – Maine Timberlands", "Segment Performance – Environmental Solutions", "Outlook", and without limitation other statements regarding management's beliefs, intentions, results, performance, goals, achievements, future events, plans and objectives, business strategy, growth strategy and prospects, access to capital, liquidity and trading volumes, dividends, taxes, capital expenditures, projected costs, market trends and similar statements concerning anticipated future events, results, achievements, circumstances, performance or expectations that are not historical facts. All forward-looking statements in this News Release are qualified by these cautionary statements. Forward-looking statements involve significant risks and uncertainties, should not be read as guarantees of future performance or results, should not be unduly relied upon, and will not necessarily be accurate indications of whether or not such results will be achieved. Actual results may vary. These forward-looking statements include, but are not limited to:

- *Expectations regarding the number and timing of carbon credits that will be successfully registered and available for sale. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances and other factors, as well as periodic updating for inventory and verification activities.*
- *Expectations regarding product demand, pricing and end use markets, including expectations for U.S. housing starts, which may be impacted by changes in interest rates, U.S. population demographics and the inventory of homes for sale. Expectations regarding product demand and pricing are based on anticipated market conditions, anticipated regional inventory levels of key customers, and the economic situation of key customers. Estimates for U.S. housing starts are based on forecasts published by major financial institutions.*
- *Expectations regarding future production volumes and costs associated with internal logging operations which may be impacted by operational efficiency, the regional supply of skilled operators, product demand, pricing and end use markets.*
- *Expectations regarding the impacts of escalated duties on softwood lumber and potential tariffs levied on U.S. imports from Canada, which may include direct impacts related to changes to the price of and demand for Acadian's products originating in Canada as well as the U.S., and indirect impacts associated with changes in the price of and demand for the products of Acadian's key customers and the greater economy.*
- *Expectations regarding future contractor availability, which may be impacted by regional supply of trained contractors and changes in the demographics of the available workforce.*

Other risks and factors are discussed under the heading "Risk Factors" in our Annual Report dated February 11, 2026 and in the Annual Information Form dated March 28, 2025 and other filings of Acadian made with securities regulatory authorities, which are available on SEDAR+ at www.sedarplus.ca. Forward-looking information is based on various material factors or assumptions, which are based on information currently available to Acadian. Readers are cautioned that the preceding list of material factors or assumptions is not exhaustive. Although the forward-looking statements contained in this News Release are based upon what management believes are reasonable assumptions, Acadian cannot assure readers that actual results will be consistent with these forward-looking statements. The forward-looking statements in this News Release are made as of the date of this News Release based on information currently available to management and should not be relied upon as representing Acadian's views as of any date subsequent to the date of this News Release. Acadian assumes no obligation to update or revise these forward-looking statements to reflect new information, events, circumstances or otherwise, except as may be required by applicable law.

Acadian Timber Corp.
Consolidated Balance Sheets

(unaudited)

As at *(CAD thousands)*	**December 31, 2025**	December 31, 2024
Assets		
Current assets		
Cash	**$ 4,808**	$ 15,250
Accounts receivable and other assets	**9,154**	8,576
Inventories	**3,032**	2,094
	16,994	25,920
Timber	**521,865**	471,890
Land, roads, and other fixed assets	**88,498**	104,067
Intangible asset	**6,256**	6,140
Total assets	**$ 633,613**	$ 608,017
Liabilities and shareholders' equity		
Current liabilities		
Accounts payable and accrued liabilities	**$ 12,212**	$ 10,922
Current income taxes payable	**1,353**	229
Dividends payable to shareholders	**5,303**	5,126
Current portion of long-term debt	**698**	46,045
	19,566	62,322
Long-term debt	**110,009**	68,896
Deferred income tax liabilities, net	**144,294**	137,770
Total liabilities	**273,869**	268,988
Shareholders' equity	**359,744**	339,029
Total liabilities and shareholders' equity	**$ 633,613**	$ 608,017

Acadian Timber Corp.
Consolidated Statements of Net Income

(unaudited)

	Three Months Ended		Year Ended	
(CAD thousands, except per share data)	**December 31, 2025**	December 31, 2024	**December 31, 2025**	December 31, 2024
Sales	**$ 21,976**	$ 20,226	**$ 86,956**	$ 116,185
Operating costs and expenses				
Cost of sales	**15,004**	14,507	**60,431**	77,920
Selling, administration and other	**2,584**	2,366	**10,975**	13,037
Silviculture	**147**	138	**2,234**	1,569
	17,735	17,011	**73,640**	92,526
Operating income	**4,241**	3,215	**13,316**	23,659
Interest expense, net	**(1,086)**	(721)	**(4,020)**	(3,121)
Other items				
Fair value adjustments and other	**52,115**	4,920	**57,669**	9,911
Gain on sale of timberlands and other fixed assets	**410**	335	**568**	539
Income before income taxes	**55,680**	7,749	**67,533**	30,988
Income tax expense	**(15,960)**	(2,164)	**(18,560)**	(9,250)
Net income	**$ 39,720**	$ 5,585	**$ 48,973**	$ 21,738
Net income per share – basic and diluted	**$ 2.18**	$ 0.32	**$ 2.70**	$ 1.24

Acadian Timber Corp.
Consolidated Statements of Comprehensive Income

(unaudited)

	Three Months Ended		Year Ended	
(CAD thousands)	**December 31, 2025**	December 31, 2024	**December 31, 2025**	December 31, 2024
Net income	**$ 39,720**	$ 5,585	**$ 48,973**	$ 21,738
Other comprehensive income				
Items that may be reclassified subsequently to net income:				
Gain on revaluation of land and roads, net of deferred income tax expense	**(14,321)**	4,798	**(14,321)**	4,799
Unrealized foreign currency translation gain / (loss), net of deferred income tax expense	**(1,377)**	3,501	**(3,421)**	5,120
	(15,698)	8,299	**(17,742)**	9,919
Comprehensive income	**$ 24,022**	$ 13,884	**$ 31,231**	$ 31,657

Acadian Timber Corp.
Consolidated Statements of Cash Flows

(unaudited)

(CAD thousands)	Three Months Ended		Year Ended	
Cash provided by (used for):	**December 31, 2025**	December 31, 2024	**December 31, 2025**	December 31, 2024
Operating activities				
Net income	**$ 39,720**	$ 5,585	**$ 48,973**	$ 21,738
Adjustments to net income:				
Income tax expense	**15,960**	2,164	**18,560**	9,250
Depreciation and amortization	**513**	148	**1,882**	517
Fair value adjustments and other	**(52,115)**	(4,920)	**(57,669)**	(9,911)
Non-cash cost of sales related to carbon credits	**—**	—	**—**	14,178
Gain on sale of timberlands and other fixed assets	**(410)**	(335)	**(568)**	(539)
Income taxes paid	**(121)**	(507)	**(3,025)**	(3,426)
Net change in non-cash working capital balances and other	**1,074**	284	**(1,330)**	2,239
	4,621	2,419	**6,823**	34,046
Financing activities				
Proceeds from equipment loan	**—**	—	**2,189**	—
Proceeds from short-term debt	**—**	—	**—**	10,298
Repayment of short-term debt	**—**	—	**—**	(10,298)
Mandatory debt repayments	**(172)**	—	**(570)**	—
Dividends paid to shareholders	**(2,589)**	(2,588)	**(10,363)**	(11,488)
	(2,761)	(2,588)	**(8,744)**	(11,488)
Investing activities				
Business acquisition	**—**	—	**(6,510)**	—
Additions to timber, land, roads, and other fixed assets	**(67)**	(342)	**(3,205)**	(10,499)
Proceeds from sale of timberlands and other fixed assets	**589**	1,142	**1,194**	1,360
	522	800	**(8,521)**	(9,139)
Increase / (Decrease) in cash during the period	**2,382**	631	**(10,442)**	13,419
Cash, beginning of period	**2,426**	14,619	**15,250**	1,831
Cash, end of period	**$ 4,808**	$ 15,250	**$ 4,808**	$ 15,250

Acadian Timber Corp.
Reconciliations to Adjusted EBITDA and Free Cash Flow

(unaudited)

	Three Months Ended		Year Ended	
(CAD thousands)	**December 31, 2025**	December 31, 2024	**December 31, 2025**	December 31, 2024
Net income	**$ 39,720**	$ 5,585	**$ 48,973**	$ 21,738
Add / (deduct):				
Interest expense, net	**1,086**	721	**4,020**	3,121
Income tax expense	**15,960**	2,164	**18,560**	9,250
Depreciation and amortization	**513**	148	**1,882**	517
Fair value adjustments and other	**(52,115)**	(4,920)	**(57,669)**	(9,911)
Non-cash cost of sales related to carbon credits	**—**	—	**—**	14,178
Adjusted EBITDA	**$ 5,164**	$ 3,698	**$ 15,766**	$ 38,893
Add / (deduct):				
Interest paid on debt, net	**(1,066)**	(814)	**(4,102)**	(3,299)
Additions to land, roads, and other fixed assets	**(67)**	(342)	**(1,016)**	(1,082)
Mandatory debt repayments	**(172)**	—	**(570)**	—
Gain on sale of timberlands and other fixed assets	**(410)**	(335)	**(568)**	(539)
Proceeds from sale of timberlands and other assets	**589**	1,142	**1,194**	1,360
Current income tax expense	**(2,178)**	(298)	**(4,069)**	(5,600)
Free Cash Flow	**$ 1,860**	$ 3,051	**$ 6,635**	$ 29,733